

Table 44.3 Cumulative Failure Rates

Maximum Price Decline (%)	Bull Market	Bear Market
5 (breakeven)	74 or 9%	10 or 3%
10	183 or 30%	32 or 13%
15	155 or 49%	37 or 24%
20	125 or 64%	69 or 46%
25	80 or 73%	29 or 54%
30	72 or 82%	39 or 66%
35	47 or 87%	26 or 74%
50	85 or 97%	52 or 90%
75	22 or 100%	28 or 99%
Over 75	0 or 100%	3 or 100%

Table 44.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% down	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L –20%, M –19%, H –17%	L –27%, M –26%, H –23%

Table 44.4 shows breakout-related statistics.

Breakout direction. By definition a horn top breaks out downward. A downward breakout happens when price closes below the lowest price bar in the 3-bar pattern.

Yearly position, performance. The best performing horn tops are those with breakouts near the yearly low. You'll want to avoid trading horn tops within a third of the yearly high because they perform worst. That makes sense: You should short a stock making new lows, not new highs (just think if the trend continues and you'll understand that).

Table 44.5 shows pattern size statistics.